

25STCV32764 25STCV32764

County: los-angeles

Division: Civil Law and Motion

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Case Number: 25STCV32764 Hearing Date: July 15, 2026 Dept: 734

The

following tentative ruling is issued pursuant to Rule of Court 3.1308 at 11:29 AM on July 14, 2026.

Rule

of Court 3.1308(a)(1) provides that a “tentative ruling will become the ruling of the court if the court has not directed oral argument by its tentative ruling and notice of intent to appear has not been given.”

The

Court does not desire oral argument on the motion addressed herein. Notice of intent to appear is REQUIRED pursuant to California Rule of Court 3.1308(a)(1).

No

later than 4:00 p.m. on July 14, 2026, the moving and opposing parties must provide notice to ALL OTHER PARTIES and the staff of Department 734 whether the party intends to (1) appear and argue the motion, or (2) submit to the tentative ruling.

Notice to Department 734 should be sent by

email to , with opposing parties copied on the email. The high volume of telephone calls to Department 734 may delay the Court's receipt of notice, so telephonic notice to 213-830-0776 should be reserved for situations where parties are unable to give notice by email.

This is a commercial unlawful detainer action.

The Court dismissed the action without prejudice following a bench trial. Defendant moves for an award of attorney fees.

Plaintiff moves for an order of equitable setoff of judgments.

TENTATIVE RULING

Defendant United Automotive Network,
Inc.'s motion for attorney's fees is GRANTED in the reduced amount of \$16,500.

Plaintiff 2150

MSB Capital, LLC's motion for an order for equitable offset is GRANTED. Defendant's judgment for the amount of attorney's fees in the sum of \$16,500 is deemed satisfied in full. Plaintiff's \$237,419.00 judgment in 23STCV08333 against United Automotive Network is partially satisfied in the amount of \$16,500, resulting in a new judgment amount of \$220,919.

ANALYSIS

Motion For Attorney
Fees

Discussion

The Court has reviewed the moving, opposing and reply briefs filed by the parties, but only addresses the points which the Court deems to be material to the disposition of this motion.

On March 12,
2026, the Court dismissed this action without prejudice following a bench trial.
Defendant moves for an award of attorney fees.

¶ 31 of the Lease attached to the Complaint
is an attorney's fees provision which provides for recovery of reasonable attorney's fees by the prevailing party.

(a) In any action on a contract, where the contract specifically provides that attorney's fees and costs, which are incurred to enforce that contract, shall be awarded either to one of the parties or to the prevailing party, then the party who is determined to be the party prevailing on the contract, whether he or she is the party specified in the contract or not, shall be entitled to reasonable attorney's fees in addition to other costs.

. . .

(b)

(1) The court, upon notice and motion by a party, shall determine who is the party prevailing on the contract for purposes of this section, whether or not the suit proceeds to final judgment. Except as provided in paragraph (2), the party prevailing on the contract shall be the party who recovered a greater relief in the action on the contract. The court may also determine that there is no party prevailing on the contract for purposes of this section.

(Civ. Code § 1717(a) & (b).)

Here, because the case was dismissed by the Court without prejudice, Defendant is deemed to be the prevailing party for purposes of attorney's fees.

The determination of reasonable amount of attorney fees is within the sound discretion of trial courts. (PLCM Group v. Drexler (2000) 22 Cal.4th 1084, 1095; Akins v. Enterprise Rent-A-Car Co. (2000) 79 Cal. App. 4th 1127, 1134.) "The determination of what constitutes a reasonable fee generally 'begins with the 'lodestar,' i.e., the number of hours reasonably expended multiplied by the reasonable hourly rate....'" "[T]he lodestar is the basic fee for comparable legal services in the community; it may be adjusted by the court based on factors including, as relevant herein, (1) the novelty and difficulty of the questions involved, (2) the skill displayed in presenting them, (3) the extent to which the nature of the litigation precluded other employment by the attorneys, (4) the contingent nature of the fee award...." (Graciano v. Robinson Ford Sales, Inc. (2006) 144 Cal.App.4th 140, 154.) In setting the hourly rate for an attorney fees award, courts are entitled to consider the rate of "fees customarily charged by that attorney and others in the community for similar work." (Bihun v. AT&T Information Systems, Inc. (1993) 13 Cal. App. 4th 976, 997 [affirming rate of \$450 per hour], overruled on other grounds by Lakin v. Watkins Associated Indus. (1993) 6 Cal. 4th 644, 664.) The burden is on the party seeking attorney fees to prove reasonableness of the fees. (Center for Biological Diversity v. County of San Bernardino (2010) 188 Cal.App.4th

603, 615.)

The Court has broad discretion in determining the amount of a reasonable attorney's fee award which will not be overturned absent a "manifest abuse of discretion, a prejudicial error of law, or necessary findings not supported by substantial evidence." (Bernardi v. County of Monterey (2008) 167 Cal.App.4th 1379, 1393-94.) The Court need not explain its calculation of the amount of attorney's fees awarded in detail; identifying the factors considered in arriving at the amount will suffice. (Ventura v. ABM Industries Inc. (2012) 212 Cal.App.4th 258, 274-75.)

Here, Defendant is only seeking to recover for services performed by attorney Bartley Babcock. Defendant's current counsel substituted in on March 11, 2026, and is claiming to have spent 45 hours at \$550/hour. The next day, the Court ordered the case dismissed without prejudice following a bench trial.

The Court approves a \$500/hour rate^[1] (Declaration of Bartley Babcock ¶¶ 14, 17), but notes that an unlawful attorney billing at that rate should have expertise and not require much legal research. The Court notes that counsel began billing on March 9, 2026. (Declaration of Bartley Babcock, Billing Matrix.) After reviewing the billing matrix, the Court finds that the reasonable amount of hours spent on this case is 33 hours. The lodestar amount at \$500/hour is thus \$16,500.

"A trial court is not required to state each charge it finds reasonable or unreasonable. A reduced award might be fully justified by a general observation that an attorney overlitigated a case." (Karton v. Ari Design & Constr., Inc (2021) 61 Cal.App.5th 734, 744-45.)

As such, Defendant's motion for attorney's fees is GRANTED in the reduced amount of \$16,500.

Motion For Offset of Judgments

The Court has reviewed the moving, opposing and reply briefs filed by the parties, but only addresses the points which the Court

deems to be material to the disposition of this motion.

Plaintiff 2150 MSC Capital LLC moves

for an order granting an equitable set-off of the judgments existing between the parties. In particular, Plaintiff seeks to set off against the above attorney's fee award the \$237,419.00 entered in favor of 2150 MSC Capital LLC against United Automotive Network, Inc. in LASC No. 23STCV08333 on April 14, 2025.

In the Opposition, Defendant argues:

First, the \$250,000 debt defendant owes

to plaintiff from the judgment in the other case is not the same as the debt from any attorney fee award in this case because the debts would be owed to different persons. There is no mutuality. If attorney fees are awarded in this action there is a substantial likelihood that they would be awarded to defense counsel – not to defendant – because of counsels' lien against the recovery of attorney's fees in the signed retainer agreement.

Second, Code of Civil Procedure section

431.70 does not support Plaintiff's position because it only applies to cross-demands for money between parties to the same lawsuit raised as a defense.

Third, public policy concerns and the

attorney's lien of defense counsel take priority over Plaintiff's asserted right of setoff.

Fourth, Plaintiff cannot establish that

the equities weigh in favor of an offset as required by the factors found in *Brienza v. Tepper*, supra, 35 Cal.App.4th 1839.

In the Reply, Plaintiff argues a review

of the Retainer Agreement evidences that Defendant executed the Retainer Agreement granting the lien on March 22, 2026, ten (10) days after the UD trial in this matter, and four (4) days after Plaintiff filed its Motion for Set Off concerning its April 14, 2025 Judgment against Defendant which is now \$265,779.45,

The Court finds that the principles set forth

in *Crasnick v. Marquez* (2016) 248 Cal.App.4th Supp. 1 guides the approach to offsets in this unlawful detainer context. In *Crasnick*, the tenant defendants obtained an unlawful detainer judgment against the landlord plaintiff, and the defendants

obtained an award of attorney's fees. The attorney representing the defendant tenants had obtained an attorney's lien by virtue of the client signing a retainer agreement. After entry of the foregoing judgment (but before the attorney fee award) the landlord obtained a default judgment money award against the tenants in a second unlawful detainer action. After entry of the foregoing judgment, the landlord also obtained a small claims action judgment against the tenants. The landlord argued that the damages awarded in the second unlawful detainer and in the small claims action should set off the attorney fees award in the first unlawful detainer. The Crasnick court held that the attorney lien had priority and that it would be inequitable to set off the attorney fees award with the two subsequent judgments. The Crasnick court affirmed the trial court's order denying the setoff.

The Court quotes extensively from Crasnick below, as it sets forth the principles applicable to the instant case:

The retainer agreement between Sharma and Diaz created an implied lien by "indicat[ing] that [counsel] is to look to the judgment for payment of [her] fee [citations]." (Citation omitted.) The lease stated Crasnick could recover fees incurred in any unlawful detainer between the parties, and Civil Code section 1717 "provide[d] a reciprocal remedy for a prevailing party who has not actually incurred legal fees, but whose attorneys have incurred costs and expenses in defending the prevailing party on the underlying agreement." (Citation omitted.) Given the agreement between Sharma and Diaz, that Sharma was entitled to receive any fees awarded, although the judgment and attorney fees award was entered in favor of Diaz, "the attorney fees awarded ... belong[ed] to the attorney[] who labored to earn them." [Citation.] (Citation omitted.) Thus, even though Sharma agreed not to charge Diaz for attorney fees, a lien still existed based on the written agreement, because Sharma had a right to any fees awarded in the case.

Because the lien was "tied to the client's contingent recovery of ... an award of attorney fees ... , the attorney [could not] enforce the lien until [*6] the contingency occur[red]. [Citation.]" (Citation omitted.) Nonetheless, for purposes of determining the priority between the attorney's lien and any subsequent claims or judgments, the attorney's lien arose at the time the retainer agreement was entered into. (Citation omitted)

Therefore, although the lien was unenforceable until attorney fees were awarded on December 19, 2014, the attorney fees lien arose when the agreement was executed on July 21, 2014. Hence, the lien arose on a date

preceding the November 13, 2014 and March 2, 2015 judgments in Crasnick's favor.

B. The Trial Court Was Required to Weigh Equities

In determining whether to set off Crasnick's two judgments in his favor against the judgment entered against him, the court was required to weigh the respective equities in the case.

"[A] judgment debtor who has acquired a judgment or claim against his judgment creditor may ask the court in which the judgment against him was rendered to have his judgment or claim offset against the first judgment. The offset of judgment against judgment is a matter of right absent the existence of facts establishing competing equities or an equitable defense precluding the offset. [Citation.]" (Citation omitted.) "[O]ffset exists independent of statute and is based on the inherent power of the court to do justice to the parties before it. [Citation.]" (Id. at p. 1846.) Crasnick argues that, because the three judgments at issue involved the same apartment and parties, he had an absolute right to a setoff, and the court lacked power to weigh equities in deciding whether to grant his setoff motion. We disagree.

"In Brienza, the judgment debtor acquired the [second] judgment from a third party in an unrelated independent action to use as an offset in a wholly separate action. ... Brienza underscored th[e] distinction [between separate actions and rights acquired in a single judgment] and noted that the right to offset competing judgments obtained in the same action is superior to an attorney's lien: "[T]he general rule is that while an attorney's lien is subordinate to the rights of the adverse party to offset judgments in the same action or in actions based upon the same transaction, it is nevertheless superior to any right to offset judgments obtained in wholly independent actions" [Citation.]" (Citation omitted.) Brienza thus indicated the right to setoff may be absolute, with no weighing of equities required, when the judgment to be set off is rendered in the same action as the one wherein an attorney's lien exists. [*7] In a case such as the present one, where the judgments used as setoff were rendered in different courts in different actions, albeit ones involving the same subject matter and parties, the right to setoff is not absolute.

. . .

Yet, applying a setoff in this manner, where an attorney has a lien which is unenforceable until a judgment is rendered and fees are awarded, ignores

that ordering setoffs without regard to the equities in a case would be inconsistent with the equitable nature of setoffs in general. (Citation omitted.) In the present case, one of the judgments upon which setoff was based—i.e., the award of damages to Crasnick in the small claims action—was entered after fees were awarded in the first unlawful detainer. The second unlawful detainer judgment awarding damages to Crasnick was entered before attorney fees were awarded, but the court granted summary judgment in the unlawful detainer which was the source of the attorney fees prior to entry of judgment in the second unlawful detainer. Ordering setoff without considering the equities would be particularly inappropriate in a case such as the present one, where the attorney fees award to be set off postdated one of the judgments simply due to the temporal fortuity of when the motion to award fees was heard.

C. The Trial Court Did Not Abuse Its Discretion in Weighing Equities

“Whether a setoff is appropriate in equity is a question within the trial court’s discretion. We review the court’s decision under the abuse of discretion standard. [Citation.] An abuse of discretion occurs if, in light of the applicable law and considering all of the relevant circumstances, the court’s decision exceeds the bounds of reason and results in a miscarriage of justice. [Citations.]” (Citation omitted.)

... [*8] ...

Factors considered by Brienza which apply here are the first judgment debtors’ insolvency; whether the parties acted inequitably in pursuing their actions; and the public policy ramifications with respect to attorneys’ willingness to agree to represent individuals if they know their fees will be subject to being stripped by subsequent judgments against the clients. (Brienza, *supra*, 35 Cal.App.4th at pp. 1848–1850.)

Regarding insolvency, Brienza noted that the attorney’s client against whom the second judgment was entered was insolvent. But, Brienza determined that in its case, “[b]y according priority to [the attorney’s] lien for attorney fees, [the judgment creditor] will still be able to assert an offset to a substantial portion of [the client’s] judgment against him,” and “[t]his result [was] unlike [that] where granting priority to the attorney’s statutory lien would have totally defeated the equitable offset. [Citation.]” (Brienza, *supra*, 35 Cal.App.4th at p. 1848.) This factor weighed in Crasnick’s favor because the facts presented to the trial court showed Diaz qualified for representation

by Public Counsel due to her indigency, and although the judgments in Crasnick's favor were also rendered against Marquez, it appears he, too, was indigent. The judgment for attorney fees against Crasnick was \$6,245, and the two judgments in his favor (\$5,281.42 and \$1,096) amounted to a sum greater than the attorney fees judgment, thus completely defeating his equitable setoff.

. . . [*9] . . .

Lastly, regarding public policy, Brienza agreed with the attorney's argument that "if an attorney's contractual lien for fees cannot prevail over a subsequently acquired right of offset, attorneys would be far less willing to represent clients with meritorious cases." (Citation omitted.) Brienza further noted the "trial court [in its case] ... recognized the public policy issue in its statement of decision: 'Public policy in California has long been that all citizens, even the impoverished, should not be precluded from obtaining effective counsel. If in every case a reasonable attorney's fee can be defeated by setoff, it would violate the public policy of permitting all citizens their right to counsel. Many plaintiffs in class actions and other pressing social issue lawsuits are those individuals who have suffered tax liens and judgments against them. The unfettered ability of judgment debtors to offset any judgment favoring such plaintiffs would have a chilling effect on counsel's desire and ability to represent an impoverished client.'" (Citation omitted.)

Brienza also observed that, in Cetenko, "where an attorney's prior contractual lien for fees was given priority over a subsequent statutory lien, our Supreme Court expressed this public policy by stating: 'Public policy favors the conclusion we reach in this case. If an attorney's claim for a lien on the [*10] judgment based on a contract for fees earned prior to and in the action cannot prevail over the lien of a subsequent judgment creditor, persons with meritorious claims might well be deprived of legal representation because of their inability to pay legal fees or to assure that such fees will be paid out of the sum recovered in the latest lawsuit. ...'" (Citation omitted.)

The public policy concern regarding the availability of lawyers for indigent litigants is applicable to the present context. In unlawful detainer litigation, multiple actions relating to the same dwelling and tenants can be filed based on successive notices to pay rent or quit. (See Code Civ. Proc., § 1161, subd. 2.) An attorney representing an indigent tenant may succeed in an action, or possibly more than one, thereby preventing the tenant from being evicted, and having attorney

fees awarded in his or her favor. Yet, further judgments could disfavor the tenant if the tenant runs out of money to pay for the apartment, resulting in damage awards for back rent. If the attorney knew any fee award it gained could be eliminated by subsequent setoff judgments, he or she could make the rational financial decision to refuse to represent the poorest tenants, those who are most likely to eventually default in paying rent. The result would be that those in greatest need of legal representation would have fewer attorneys willing to represent them without charging fees, an outcome squarely against California's policy of attempting to make legal representation to indigents widely available.

(Crasnick v. Marquez (2016)

248 Cal.App.4th Supp. 1, 3-10 [bold emphasis and underlining added].)

The chronology in this case differs

from Crasnick because landlord 2150 MSB Inc. obtained a default judgment[2] in 23STCV08333 against United Automotive Network on April 14, 2025 in the amount of \$237,419.00. Subsequently, in the instant case, 25STCV32764, the Court ordered the case dismissed without prejudice on March 12, 2026. This is almost a year after judgment was entered in April 14, 2025.

Moreover, in

the instant case, it was not until March 13, 2026 that the Law Offices of Bartley A. Babcock, White Knight Legal Services entered into written retainer agreement with United Automotive Network which included the assignment of the client's right to collect attorneys' fees incurred. This retainer was not even executed until March 22, 2026 by and the client. Under Crasnick, the attorney's lien was not even created until after this case was dismissed.

The distinguishing factor, then is that,

the attorney's lien in Crasnick was created prior to the judgment as to which an offset was sought. Here, the landlord judgment was entered nearly a year before the attorney's lien was created by execution of the retainer agreement. As such, the attorney's lien does not have priority over Plaintiff's prior judgment in 23STCV08333 against United Automotive Network.

"[T]he court may doubtless exercise its discretion in the allowance of a set-off to protect an attorney's lien, under proper circumstances[.] And the general rule is that while an attorney's lien is subordinate to the rights of the adverse party to offset judgments in the same action or in actions based upon the same transaction, it is nevertheless superior to any right to offset judgments obtained

in wholly independent actions, though, of course, a lien would not in any case prevent a set-off as to the balance of the judgment. And clearly where the lien has attached to the judgment upon its rendition, it cannot be defeated by a subsequent right of set-off. So where, by virtue of his contract with his client, an attorney becomes the legal or equitable owner of a portion of or interest in the judgment, his rights are superior to the right to set off against such judgment a judgment recovered or obtained after the contract was made.

(Brienza v. Tepper (1995) 35 Cal.App.4th 1839, 1849 [bold emphasis added].)

Nonetheless, Crasnick held that even where unlawful detainer judgments arise out of the same relationship between the parties[3], if the judgments are in different cases, the right to offset by the judgment creditor is not absolute—the court must weigh the equities. (Crasnick, *supra*, 248 Cal.App.4th Suppl. at 6 – 7.)

Re: The first judgment debtor's insolvency. (Crasnick v. Marquez (2016) 248 Cal.App.4th Supp. at 8.)

In this case, the first judgment debtor is United Automotive Network. As such, United Automotive Network's focus on the judgment creditor is misguided. United Automotive Network does not address its own possible insolvency. As noted above, the attorney's lien is not entitled to priority of Plaintiff's judgment lien, and there is no indication United Automotive Network is insolvent. As such, there is no showing that the equities weigh in favor of the junior attorney's lien.

Re: Whether parties acted inequitably in pursuing their actions. (Crasnick v. Marquez (2016) 248 Cal.App.4th Supp. at 8.)

There is no indication either party acted inequitably.

Re: Public policy ramifications. (Crasnick v. Marquez (2016) 248 Cal.App.4th Supp. at 8.)

The public policy

ramifications pertain to whether attorneys will be willing to represent individuals if they know their fees will be subject to being stripped by subsequent judgments against the clients. (Crasnick v. Marquez (2016) 248 Cal.App.4th Supp. at 8-9.) Because Plaintiff's judgment was obtained nearly a year before Defendant's counsel entered into a retainer agreement with Defendant as client, Defendant's counsel accepted the case knowing that there was a prior judgment. Indeed, Defendant's counsel did not even obtain the written retainer until after this case was dismissed. There are no public policy ramifications here which weigh against offset.

For the foregoing reasons, the Court finds that Plaintiff is entitled to offset its prior judgment against Defendant's judgment in this case for the amount of attorney's fees in this case, i.e., \$16,500.

As such, the motion for an order for equitable offset is GRANTED. Defendant's judgment for the amount of attorney's fees in the sum of \$16,500 is deemed satisfied in full. Plaintiff's \$237,419.00 judgment in 23STCV08333 against United Automotive Network is partially satisfied in the amount of \$16,500, resulting in a new judgment amount of \$220,919.

[1] This is between the \$550 hour rate Defendant requests in the moving papers and the \$450 rate Defendant is willing to accept in the Reply.

[2] On May 13, 2026, the motion to set aside default judgment entered in 23STCV08333 was denied.

[3] While Defendant argues in the opposition that the two judgments do not concern the same transaction, this is not persuasive. In 23STCV08333, 2150 MSB Capital, LLC sought to recover unpaid rent from United Automotive Network, Inc. for the commercial property located at 2150 Venice Blvd, Los Angeles, California 90006, which was personally guaranteed by Defendant Keshmir. This case, 25STCV32764 is an unlawful detainer action pertaining to the same lease.